

Denali Risk Dial

The goal of the risk dial is to proactively identify good and bad trading environments, the “easy dollar” versus “hard penny” markets many seasoned traders recognize. It looks beneath index price action for signs of risk that a steady or rising market can hide.

The dial combines the seven components below into one score. Higher readings reflect stronger combined warnings. We focus on what happened over the next **5, 10 and 21 trading days**, roughly one week, two weeks and one month.

Distribution Dominance

Counts distribution and accumulation days over the past 63 trading sessions. Both require SPY volume above its 63-session average and more than 15% above the previous session. Distribution days close below the open; accumulation days close above it. A large selling imbalance near index highs can reveal demand weakening beneath a strong index.

Average SPY return	Next 5	Next 10	Next 21
Warning active (267 dates)	-0.05%	-0.19%	-0.38%
All dates (6,129)	+0.22%	+0.44%	+0.91%

Defensive Leadership

Compares the share of defensive and economically sensitive stocks above their 50- and 200-session averages. Defensive businesses tend to hold up better in a slowdown. Their leadership near index highs can signal less confidence in growth and weaker support for further gains.

Average SPY return	Next 5	Next 10	Next 21
Warning active (589 dates)	-0.06%	-0.02%	-0.18%
All dates (6,129)	+0.22%	+0.44%	+0.91%

VIX Range Compression

Flags an unusually narrow trading range in VIX, the options market’s estimate of future S&P 500 swings. VIX must also exceed 13 and its recent average. We watch this combination because a tight range alongside rising unease can precede a larger move.

Average SPY return	Next 5	Next 10	Next 21
Warning active (357 dates)	+0.12%	+0.12%	+0.90%
All dates (6,129)	+0.22%	+0.44%	+0.91%

Low Absorption Ratio

Measures how closely sectors move together. A low reading near index highs means separate sector moves can help keep the index steady. A common shock can make those sectors fall together, removing the support that their different paths provided.

Average SPY return	Next 5	Next 10	Next 21
Warning active (681 dates)	+0.11%	+0.21%	+0.48%
All dates (6,129)	+0.22%	+0.44%	+0.91%

Seasonal Rank Divergence

Compares how defensive and economically sensitive stocks have historically performed at that time of year. When the calendar favors defensive shares while SPY is near its high, the market may have less seasonal support for continued gains.

Average SPY return	Next 5	Next 10	Next 21
Warning active (139 dates)	-0.14%	-0.16%	-0.02%
All dates (6,129)	+0.22%	+0.44%	+0.91%

Dispersion

Compares the size of individual-stock moves with moves in the index after a long stretch without a 10% correction. Large gains and losses can cancel out, making the index look calm. We watch for the risk that those stock moves line up on the downside.

Average SPY return	Next 5	Next 10	Next 21
Warning active (33 dates)	-0.41%	-0.13%	-0.16%
All dates (6,129)	+0.22%	+0.44%	+0.91%

NYSE Net Highs

Subtracts new 52-week lows from new 52-week highs on the New York Stock Exchange (NYSE). A negative total means more listed securities are making lows than highs. When SPY is still near its own 252-session high, that mismatch suggests the index is masking weakness across the broader market. The warning reads a five-session exponential average of the total, so a single quiet day inside a negative stretch does not switch it on or off.

Average SPY return	Next 5	Next 10	Next 21
Warning active (224 dates)	-0.43%	-0.69%	-0.84%
All dates (6,043)	+0.21%	+0.42%	+0.89%

How to read the dial

In this study, higher readings were followed by weaker returns. Below 20, the average next-month return was +1.33%. At 55 or above, it was +0.30%, and the average week ahead was slightly negative. The table shows the full range.

Main dial	Dates	Next 5	Next 10	Next 21
0—<20	2,594	+0.31%	+0.66%	+1.33%
20—<40	1,533	+0.29%	+0.45%	+0.80%
40—<55	1,087	+0.10%	+0.25%	+0.59%
55—<65	448	+0.13%	+0.31%	+0.86%
65—<80	318	-0.17%	-0.23%	-0.19%
80+	149	-0.18%	-0.38%	-0.32%
All dates	6,129	+0.22%	+0.44%	+0.91%

What the ranges mean

Below 20, supportive: the strongest average returns across all three windows. **20 to 40, constructive:** still positive, with smaller gains than the under-20 group. **40 to 55, caution:** gains narrowed again, to between a half and two thirds of the study average. **55 and above, warning:** the deterioration builds with the reading rather than arriving at the line. The 55 to 65 band still carried positive averages across all three windows; from 65 to 80 all three turned negative; and at 80 and above, on 149 dates, they were weaker still.

Main dial	Dates	Next 5	Next 10	Next 21
Below 55	5,214	+0.26%	+0.51%	+1.02%
55 or above	915	-0.03%	+0.01%	+0.30%

Why 55 matters

Fifty-five is our working warning threshold because it marks the top 15% of readings in this study, the 85th percentile. The dial is in warning territory about one day in seven: 915 of the 6,129 dates, arriving in 38 separate episodes. Below the line, average returns ran at or above the pace of the study as a whole across all three windows. At 55 and above, the week-ahead average was slightly negative, the two-week average was flat and the month-ahead average was under a third of the figure below the line. The bands show that the deterioration builds with the reading rather than flipping sign at the line, so 55 is a practical dividing line rather than a switch. The score gives us a consistent way to recognize when trading conditions have become less forgiving.

The components describe different kinds of pressure: selling activity, defensive leadership, volatility, sector behavior, seasonality and market breadth. Their weights, how recently they fired and the market backdrop determine the score. Reading the component list alongside the dial helps explain what is driving the warning.

When the dial matters most

Most of the components can only fire while SPY is close to its trailing high. Five of the six price components did so on essentially every warning in this study, and the NYSE warning is defined to require the index within 3% of its high. That is deliberate: the dial is built to flag risk while the index still looks healthy, not to describe a decline already under way. About half the study, 3,032 of the 6,129 dates, had SPY closing less than 2% below its trailing 252-session high. Those are the dates the dial is speaking about, and the same tables look sharper on them.

Main dial, near-high dates	Dates	Next 5	Next 10	Next 21
0—<20	529	+0.39%	+0.89%	+1.57%
20—<40	993	+0.23%	+0.40%	+0.67%
40—<55	812	+0.01%	+0.06%	+0.25%
55—<65	351	+0.03%	+0.28%	+0.59%
65—<80	234	-0.24%	-0.39%	-0.79%
80+	113	-0.30%	-0.53%	-0.84%
All near-high dates	3,032	+0.12%	+0.28%	+0.54%

Grouped at the 55 line, the same near-high dates look like this:

Main dial, near-high dates	Dates	Next 5	Next 10	Next 21
Below 55	2,334	+0.19%	+0.39%	+0.73%
55 or above	698	-0.11%	-0.08%	-0.10%

On these dates the 55 line separates positive average returns from negative ones at all three horizons, which the split across the whole study does not. The order of the bands is the same as before, including the same slight lift in the 55 to 65 band, and the readings above 65 are weaker here than in the full sample. A month-ahead loss followed 33% of the near-high dates below 55, 41% of those at 55 or above, and 56% of those at 80 and above.

The contrast on the other side is just as useful. On the 3,097 dates where SPY closed 2% or more below its high, a high reading was not followed by weak returns: the 217 of them at 55 or above averaged +0.25%, +0.28%, +1.59% over the three windows. A high reading there mostly describes a decline that has already happened, which is not what the dial is for.

Study: 8 February 2002 to 18 June 2026; 6,129 common observation dates, the full span over which every component can be measured. Returns include SPY dividends, using prices through 18 September 2026. All tables use the same sample and show average returns. The NYSE Net Highs table covers the 6,043 of those dates whose highs-and-lows record is complete enough to read the warning, and its comparison row uses the same dates.

Readings before August 2018 are reconstructed: they show what the current rules produce when applied to the full price history rather than what was published at the time. The stored record begins in July 2016, but its own first two years are a start-up period in which components that need years of trailing history could not yet register, so the study reads the reconstruction there instead. From August 2018 the stored record takes over unchanged, and since July 2026 each reading is written on the day it is produced and never revised afterwards. Consecutive dates share return windows, so the date counts exceed the number of independent episodes. A favorable reading still carries risk.